

MARKET INSIGHT

Why the Swiss Real Estate Market Is a Safe Haven for Investors

By Benjamin Kostenbäder

Switzerland has long been viewed as a safe haven for investments and assets of all types. It has stood as a neutral country since the Battle of Marignano in 1515, having avoided involvement in any wars that would shake wealth since then — including both World Wars. From 1713 onwards, the Great Council of Geneva required bankers to keep written records of clients but forbade them from disclosing information, one of the earliest forms of banking secrecy. This was further solidified through the Swiss Banking Act of 1934, which made disclosing client data a criminal offence by federal law. The stability of the Swiss Franc — attributable to the country's political and economic steadiness — further attracts foreign capital, leading to the institutionalisation of a large wealth management industry serving both private and institutional clients.

The Swiss real estate market is part of this investment universe. Looking at property price developments over 15 years, one can identify an increasing gap between the index of realised transaction prices for residential property and the rental price index. While transaction prices rose approximately 80% over 15 years, rental prices rose by only about 12%. This divergence suggests a compression (decrease) of real estate yields — meaning that for every Swiss franc invested, less rent is received per square metre. Some fear this indicates a bubble risk, particularly given global interest rate uncertainties. This fear, however, is not justified.

YIELD CONTEXT: RATIONAL PRICING, NOT SPECULATION

The Net Initial Yield (NIY) for Swiss residential real estate sits at just above 3% on a median basis, with the 20th percentile at just above 2% as of September 2025. These figures appear low in isolation, but context is essential. The yield on the Swiss Government 10-year Bond averaged just 0.41% over the 2010–2025 period, standing at 0.38% in July 2025. The most recent fixed mortgage rate is 1.48% (averaging 1.68% over 15 years). When compared against these benchmarks, the median NIY of 3.1% offers meaningful relative attractiveness — it exceeds the risk-free rate and covers financing costs. The elevated property prices therefore reflect investor confidence in Swiss stability, not irrational exuberance.

STRICT MORTGAGE REGULATION PREVENTS EXCESSIVE LEVERAGE

Switzerland's regulatory framework is a key safeguard against bubble formation. Banks apply an imputed interest rate of 5% for affordability assessments, enforce a maximum 80% loan-to-value ratio, and require amortisation to 65% within 15 years. FINMA monitors lending criteria and solvency of supervised institutions, applying an affordability limit of up to 38% of net income. Crucially, the average Swiss household spends just 13.80% of gross income on housing costs — far below any distress threshold. In a true bubble, mortgage costs become increasingly unbearable, leading to defaults and fire sales. There is no evidence of this dynamic in Switzerland.

STRUCTURAL SHORTAGE: LOW VACANCY RATES CONFIRM GENUINE DEMAND

A critical indicator of bubble risk is oversupply. In Switzerland, the opposite is true. As of 1 June 2025, the national residential vacancy rate stands at a staggeringly low 1.0%. Geneva records just 0.34%, Zug 0.42%, and Zurich 0.48% — meaning that in Zurich, only one in every 200 housing units is vacant. These figures indicate genuine supply scarcity rather than speculative oversupply. Geographic constraints and restrictive building policies make it unlikely that new construction will meaningfully alleviate this pressure in the near term.

POPULATION GROWTH SUSTAINS DEMAND

Switzerland has experienced continuous population growth of 28% over the last 30 years, driven primarily by sustained net migration — which has been positive every year since 1979. This structural demographic trend ensures long-term demand for housing remains robust, reinforcing the fundamental case for Swiss real estate as a stable, income-generating asset class.

CONCLUSION

Switzerland's real estate market appears expensive, yet its high prices are fundamentally supported by low interest rates, strict mortgage regulation, and structural housing shortages. The observed yield compression reflects investors' confidence in the country's stability rather than speculative excess. Overall, Switzerland remains a safe haven for real estate investment — not a bubble poised to burst.

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KEY DATA POINTS

80%	Rise in transaction prices over 15 years (vs. ~12% for rental prices)
3.1%	Median Net Initial Yield for Swiss residential real estate (Sep 2025)
0.38%	Yield on Swiss 10-year Government Bond (Jul 2025)
1.48%	Fixed mortgage rate on newly issued contracts (Jul 2025)
1.0%	National residential vacancy rate (Jun 2025)
0.34%	Lowest cantonal vacancy rate — Geneva
13.8%	Average share of gross income spent on housing by Swiss households
+28%	Swiss population growth over the last 30 years

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